ECONOMICS

Time: 3 Hrs. **Max. Marks: 80**

Notes: *(1) All questions are compulsory.*
(2) Draw neat tables/diagrams wherever necessary.
(3) Figures to the right indicate full marks.
(4) Write answers to all main questions on new pages.

Q.1. (A) Complete the following statement: **(5)[20]**

i. Ed = 0 in case of _____.
(a) Luxury goods (b) Normal goods
(c) Necessary goods (d) Durable goods

ii. Balance of trade is also referred to as _____.
(a) National trade balance
(b) International trade balance
(c) Balance of payment
(d) Systematic record of all international economic transactions

iii. The famous book "General Theory of Employment, Interest and Money" was published by _____.
(a) Prof. Alfred Marshall (b) David Ricardo
(c) Lord J. M. Keynes (d) Adam Smith

iv. When a government borrows from its citizens, banks, central bank, industries, etc., it is known as _____.
(a) Internal Debt (b) Personal Debt
(c) External Debt (d) International Debt

v. A period of time in which all factors of production and costs are variable is known as _____.
(a) Very short period (b) Short period
(c) Long period (d) Very long period

(B) Complete the correlation: **(5)**

i. [ ] : Teacher :: Form utility : Toys made of clay

ii. Perfect competition : Large number of sellers :: [ ] : Few sellers

iii. Theoretical difficulty : Unpaid services :: [ ] : Valuation of inventories

iv. Pen and ink : [ ] :: Tea and coffee : Substitutes

v. Trends in exports : Petroleum products :: [ ] : Gold

(C) Give economic terms: **(5)**

i. A market for long term funds, both equity and debt raised within and outside the country.
ii. Demand for a commodity which can be put to several uses.
iii. The total quantity of commodity available for sale with a seller at a particular point of time.
iv. Index number which is constructed with some specific purpose.
v. Budget in which the estimated revenue and expenditure of the government are equal.

(D) Find the odd word: **(5)**

i. Scope of macro economics:
Theory of income and employment, Theory of product pricing, Theory of general price level and inflation, Macro theory of distribution

i. Methods of measurement of national income:
Output method, Income method, Expenditure method, Ratio method

ii. Reasons for downward sloping demand curve:
Law of supply, Income effect, Substitution effect, New consumers

iv. Exceptions to the law of supply:
Agricultural goods, Perishable goods, Rare goods, Giffen's paradox

v. Types of utility:
Form utility, Total utility, Time utility, Place utility

Q.2. (A) Identify and explain the following concepts from the given illustrations (Any THREE): (6)[12]

i. Arnav sells 80 dozens of mangoes daily at ₹ 500/- per dozen.
ii. Demand for sugar falls by 10% when the price of sugar rises by 10%.
iii. Reena deposited a lumpsum amount of ₹ 50,000 in the bank for a period of one year.
iv. Shabana paid wages to workers in her factory and interest on her bank loan.
v. Vrinda receives monthly pension of ₹ 5,000/- from the state government.

(B) Distinguish between (Any THREE): (6)

i. Direct Demand and Indirect Demand
ii. Laspeyre's Price Index Number and Paasche's Price Index Number
iii. Direct Tax and Indirect Tax
iv. Micro Economics and Macro Economics
v. Total Cost and Total Revenue

Q.3. Answer the following (Any THREE): [12]

i. Explain any four features of utility.
ii. Explain any four roles of foreign trade.
iii. Explain any four features of micro economics.
iv. Explain any four factors influencing elasticity of demand.
v. Explain any four types of monopoly.

Q.4. State with reasons whether you agree or disagree with the following statements (Any THREE): [12]

i. There are many assumptions to the law of supply.
ii. Product differentiation is the only feature of monopolistic competition.
iii. Marginal utility and total utility are the same.
iv. Index numbers have limitations.
v. Public finance is different from private finance.

Q.5. Study the following table, figure, passage and answer the questions given below it (Any TWO): [8]

i. Observe the following table and answer the questions given below it: (4)

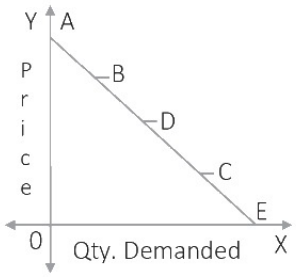
Commodities	Quantity in 2000 Base Year (q_0)	Quantity in 2001 Current Year (q_1)
A	20	45
B	40	70
C	60	105
D	20	60
Total	Σq_0 =	Σq_1 =

Questions:

a. Complete the above table. (1)
b. Calculate the Quantity Index Number from the above table. (3)

ii. Observe the following diagram and answer the questions given below it: (4)

In the following diagram A E is the linear demand curve of a commodity. On the basis of the given diagram, state whether the following statements are true or false:



Questions:

a. Demand at point 'C' is relatively elastic demand. (1)

b. Demand at point 'B' is unitary elastic demand. (1)

c. Demand at point 'D' is perfectly inelastic. (1)

d. Demand at point 'A' is perfectly elastic demand. (1)

iii. Read the following passage and answer the questions given below it: (4)

The Finance Ministry has proposed a two slab GST structure instead of multiple slabs. This reform will make the tax system simpler, benefitting micro, small and medium enterprises and also making goods cheaper for consumers. Apart from regular tax revenue, the central government earns a large share through Cess and Surcharge.

For the financial year 2025-26, the government expects ₹ 5.91 lakh crore from Cess and Surcharge, which is a 9.43% increase compared to the previous year.

Recently, GST rates on several items were reduced. This gives relief to consumers, increases the purchasing power and boosts demand in the economy. However, such cuts reduce the government's revenue. According to officials, this loss can be managed through better tax collection and other fiscal measures.

Today, India's public finance system faces major challenges:

Revenue shortfall with increasing expenditure.

Need to reduce fiscal deficit while promoting investment.

To address this, the government must focus on tax reforms, prioritizing expenditure and long-term infrastructure and investment.

Questions:

a. How much revenue does the government expect from Cess and Surcharge in FY 2025-26? (1)

b. Mention the major challenges faced by India's public finance system today. (1)

c. Express your opinion with reference to the given passage. (2)

Q.6. Answer the following questions in detail (Any TWO): [16]

(i) State and explain the law of demand with its exceptions.

(ii) Define National Income and explain its features.

(iii) Explain the role of money market in India.